reforms and in little more than a decade had risen to 300 billion dollars. Indian corporations that rarely ventured out of India were suddenly investing all over the world and even in some industrialized countries. When, in 2009, the Group of 20 (G-20) was raised to the level of a forum for leaders, India was a significant member of this global policy group."

As the enhanced process of globalisation came with new opportunities to India, it has also brought with it new challenges and responsibilities. Now, India can no longer view the global economy from a spectator's standpoint which it means that the happenings in the global economy have large implications for India. Now, every time there is a major financial crisis in the world, it has an impact on India and her growth prospects.

To give the 'real feel' of the issue this chapter of the book has been titled as the Survey titles it (it looked futile to go for more jargonised and less comprehensive titles). The chapter systematically examines[2]:

(i) the state of the global economy and India's position therein;

(ii) the current global slowdown and their implications for India and the policy challenges that these issues give rise to the domestic economic environment; and

(iii) India's role as a constructive player in the evolving global order in light of the G-20

GLOBAL ECONOMY TODAY

Economic developments throughout 2011were not encouraging in major economies of the world – experts have apprehensions that the process of global economic recovery that began after the financial crisis of the 2008 is beginning to stall and the sovereign debt crisis in the eurozone may persist for a while. There is an effort to build *firewalls* around these danger zones, but the world has *little experience* with this; so we need to be prepared for breaches in the walls (the last experience, in 1929, of the Great Depression was not of the similar kind). We may sum up the economic situation of the world econmy by taking clues from the informations[3] given below: